

A company set up under Section 42 of rho Companies Act, 2027

## **ARTICLES OF ASSOCIATION OF PAKISTAN MUCCADAM ASSOCLATION**

1. In these Articles, unless the context or the subject matter otherwise requires:
  - (a) 'Article' means these Articles of Association herein stated.
  - (b) 'Association' means the Pakistan Muccadam Association.
  - (c) 'Bye-laws' means the Bye-Laws of the Association for the time being in force.
  - (d) 'Chairman' means the Chairman of the Association.
  - (e) 'Committee' means the Executive Committee of the Association.
  - (f) 'Commission' means Election Commission as defined in Article 34
  - (g) 'Companies Ordinance' means that the Companies Ordinance of 1984 or any other statutory enactment in place of said ordinance for the time being in force.
  - (h) 'General Body' is as defined in Article 21
  - (i) 'General Meeting' means a meeting of General Body whether ordinary, special or extraordinary.
  - (j) 'Member' means a member of the Association.
  - (k) 'Memorandum' means the Memorandum of Association of the Association.
  - (l) 'Office Bearers' means the Chairman, Senior Vice Chairman Vice Chairman and Members of the Executive Committee.
  - (m) 'Ordinary Resolution' means any resolution passed at any General meeting by a simple majority of votes of members present and voting.
  - (n) 'Register' means the Register of Members of Association kept in pursuance of Section 147 of the Companies Ordinance, 1984.
  - (o) 'Secretary General' means the Secretary General of the Association.
  - (p) Words indicating the singular number shall, include plural numbers and vice versa. Words signifying persons shall apply mutatis mutandis to firms, corporations or Joint Stock Companies.
  - (q) Words indicating, he shall include she and vice versa.
- (1) All other expressions defined in the Companies Ordinance or Trade Act shall have the meaning assigned to them in the respective legislation.

- (2) When any provision of Companies Ordinance or Muccadam Act is referred to, the reference shall be to such provision as modified by any statutory enactment for the time being in force.

### **LIMIT OF MEMBERS**

1. For purpose of registration, the Association is hereby declared to consist of unlimited number of Members.

### **REGISTERED OFFICE**

2. The Registered Office of the Association shall be situated in the Islamic Republic of Pakistan at such place as may be determined by the Governing Body from time to time. The Association may establish regional or liaison offices at such locations as may be considered necessary for the effective discharge of its objectives and functions.

### **DEFINITIONS AND INTERPRETATION**

3. In these Articles, unless the context otherwise requires, words and expressions shall have the meanings assigned to them herein. The term “Muccadam Companies” shall mean enlisted, licensed, and professional entities engaged in pledge management, custody, stock verification, monitoring, recovery, repossession, and allied services for Banks and Financial Institutions. Words importing the singular shall include the plural and vice versa, and words importing any gender shall include all genders.

### **ELIGIBILITY FOR MEMBERSHIP**

4. Any Muccadam business concern shall be eligible for grant or renewal of membership of Association if such business concern meets the following conditions:
- a. The prospective Member is a sole proprietorship or a partnership firm or an association of persons or a company holding national tax number and sales tax registration, if applicable, in the name of the business concern.
  - b. The prospective Member is a Muccadam Company who has been enlisted by banks or multiple banks, also enlisted with Pakistan Bank’s Association to conduct the business of handling pledge sites in Pakistan and whose main business is to represent Banks as their agents working at the pledge site

allocated through the said banks, supervision of stock, providing periodic Stock Reports to the bank.

- c. The application for grant of Membership has been proposed and seconded by existing Members of the Association.
- d. The prospective Member has no criminal conviction.
- e. The number of members with which the company proposes to be registered is Four (4), but the Minimum number of members shall not be, at any time, less than three (3). However, the Chairman, Vice Chairman may, from time to time, whenever the company or the business of the company requires, increase the number of members.
- f. The Association in general meeting may from time to time lay down the qualifications and conditions subject to which any person or class of persons shall be admitted to membership of the company.
- g. The rights and privileges of a member shall not be transferable and shall cease on his death or otherwise ceasing to be a member.
- h. The subscribers to the memorandum and such other persons as the directors shall admit to membership shall be members of the company.
- i. One person shall have the right to hold one membership.
- j. Members shall be entitled to representation through the Association, access to guidance and support services, participation in Association initiatives, and the collective backing of PMA in industry-wide matters.
- k. Members shall comply with the Articles, rules, codes of conduct, and directives of the Association and shall maintain professional and ethical standards consistent with the objectives of PMA.

#### **ADMISSION TO MEMBERSHIP**

- 5. The application for seeking membership of the company shall be required to be seconded by an existing member whereupon the board of directors shall decide the matter of his admission as member or otherwise within ninety days of making of such application. No minor or lunatic shall be admitted as a member of the Association.

6. Every person, upon applying for admission to membership, shall submit to the Association an undertaking on the stamp paper of appropriate value that:

(a) I have not been associated with any money laundering or terrorist financing activities and neither have approved receipt of nor received such monies and likewise neither have approved disbursement of nor disbursed such monies in any manner for money laundering or terrorist financing purposes:

(b) I have not been associated with any illegal banking business, deposit taking or financial dealings or any other illegal activities.

(c) I or my Muccadam company have never been implicated, director and or been involved in illegal lifting of pledge stock, neither I authorize, encourage such acts, if in any way in my admission with the association such act occurs at any pledge site under the supervision of my company, the Association shall have the right to investigate the matter thoroughly and if any misappropriation or illegal act is found by my side or my companies side then the Association, Chairman and Vice Chairman shall have the right to dismiss my application at any moment.

(d) That I shall abide by all the rules and regulations of the Pakistan Muccadam Association.

7. The board shall subject to the Articles, accept or reject any application for admission to membership. The board's decision shall be final and it shall not be liable to give any reasons thereof.

### **APPLICATION FOR MEMBERSHIP**

8. (1) Every application for the Membership of the Association shall be made on a form prescribed by the Association and submitted by the applicant to the Secretary General together with the first subscription and admission fee.

(2) A Muccadam business concern desirous of becoming a Member shall submit to the Secretary General Membership application form. The application so received shall be placed before the next meeting of or circulated amongst the Committee which may accept the same if the prospective Member meets the eligibility criteria.

(3) In case of rejection no further application shall be entertained for a period of one year reckoned from the date of such rejection and the fees paid by the Applicant shall be

refunded. The Applicant shall, however, have the right to approach the Regulator to appeal against rejection.

9. The Membership shall be for a period of one year and shall expire on the date of grant of Membership. Membership shall be renewable on annual basis on furnishing proof of filing of a return of income tax and sales tax, if applicable, for the latest preceding assessment year by the Member and payment of prescribed subscription.

### **STATUS AND NATURE OF THE ASSOCIATION**

10. The Association is established as the **sole collective and representative industry body** of its member Muccadam Companies. PMA shall function as an institutional platform through which the collective voice, interests, and concerns of the Muccadam industry are articulated, protected, and advanced in dealings with Banks, Regulators, Courts, and other stakeholders. The Association shall operate independently and shall not be controlled by any single member, bank, or financial institution.

### **OBJECTS OF THE ASSOCIATION**

11. Following are the objects of this Association that shall be important and crucial part of this Article.

#### **11.1. Representation and Industry Authority**

The Association shall represent enlisted and professional Muccadam Companies at the national level and shall act as their collective voice before Banks, Financial Institutions, Regulators, Government Departments, Courts, and other relevant forums. In this capacity, PMA shall establish itself as a recognized and authoritative industry body for Muccadam services in Pakistan.

#### **11.2. Standardization and Trust Building**

The Association shall work towards the development, promotion, and enforcement of standardized professional practices, operational protocols, and ethical benchmarks for Muccadam services. By doing so, PMA shall contribute to building trust, transparency, and reliability between Muccadam Companies and Banks, thereby strengthening the overall pledge management and custody ecosystem.

#### **11.3. Protection of Members' Interests**

The Association shall actively protect and safeguard the lawful commercial, operational, and legal interests of its member Muccadam Companies. This shall include collective representation against unprofessional, arbitrary, or non-

standard practices of Banks, including but not limited to unilateral policy changes, delayed payments, excessive liabilities, unclear contractual obligations, and practices that undermine the sustainability of professional Muccadam services.

**11.4. Institutional Leverage and Collective Strength**

The Association shall provide its members with institutional leverage through collective engagement, enabling Muccadam Companies to negotiate, communicate, and resolve issues with Banks and Financial Institutions from a position of strength, credibility, and unity rather than as isolated service providers.

**11.5. Advisory and Guidance Role to Banks**

The Association shall work collaboratively with Banks and Financial Institutions by providing advisory input on matters relating to pledge management services, custody arrangements, risk mitigation, stock monitoring, recovery frameworks, and operational coordination. PMA shall serve as a consultative body to Banks on issues directly impacting the Muccadam industry.

**11.6. Grievance Presentation and Resolution**

The Association shall collect, document, and present grievances, operational challenges, and systemic issues faced by member Muccadam Companies before Banks, Financial Institutions, and Regulators. PMA shall endeavor to facilitate structured dialogue and resolution of such issues through engagement, mediation, and formal representation.

**11.7. Legal and Compliance Guidance**

The Association shall provide guidance and support to member Muccadam Companies on legal, regulatory, and compliance matters, including interpretation of applicable laws, contractual standards, regulatory requirements, and industry obligations. Where appropriate, PMA may coordinate collective legal opinions or representation for matters affecting the industry at large

**11.8. Ethical Conduct and Professional Discipline**

The Association shall promote ethical conduct, professional integrity, and accountability among its members. PMA shall develop and enforce codes of conduct and professional standards to ensure that Muccadam services are performed in a manner consistent with law, best practices, and the reputation of the industry.

## **POWERS OF THE ASSOCIATION**

12. For the attainment of its objects, the Association shall have full power and authority to engage with Banks, Regulators, and Government Authorities; to issue guidelines, advisories, and recommendations; to appoint legal, technical, and professional advisors; to organize meetings, consultations, and industry forums; to collect subscriptions and fees; and to take all lawful actions necessary for the effective representation and protection of its members.

## **GOVERNING BODY AND OFFICE BEARERS**

13. Composition and Tenure:  
The affairs of the Association shall be managed by a Governing Body consisting of a **Chairman, Vice Chairman, and Secretary General**, who shall be the founding and continuing office bearers of the Association. There shall be no elections. These office bearers shall remain part of the Association body unless they resign, are removed for cause, or become legally incapacitated.

## **AUTHORITY**

14. The Governing Body shall exercise full authority over the policy direction, administration, and representation of the Association and shall be empowered to take all decisions necessary to fulfill the objectives of PMA.

## **PRIVILEGES OF MEMBER MUCCADAM COMPANIES**

15. Privileges of Members: Subject to the provisions of the Memorandum of Association, these Articles, and any Rules or Regulations framed thereunder, every Member of the Pakistan Muccadam Association shall be entitled to enjoy the following privileges, rights, and facilities as a Member of the Association.

15.1. Every Member shall be entitled to benefit from the collective strength, institutional standing, and assets of the Association exclusively for the advancement and protection of the aims and objectives of the Association, including but not limited to representation before Banks, Financial Institutions, Regulators, and other relevant stakeholders.

15.2. Members shall have the right to avail such professional, legal, compliance, and advisory support as may be offered by the Association from time to time, subject to such terms, limitations, or procedures as may be determined by the Governing Body in the interest of the Association.

- 15.3. Members shall have the right to participate in General Meetings of the Association and to place before the Governing Body, either individually or jointly with other Members, matters concerning the Muccadam industry, banking practices, operational challenges, or issues affecting the collective interests of Members.
- 15.4. Members may, subject to prior written approval of the Association, represent the Association on non-political public or private bodies, committees, or forums where such representation is considered beneficial to the objectives of PMA.
- 15.5. Members shall be entitled to seek the assistance, support, and intervention of the Association for securing reasonable facilities, fair treatment, professional recognition, and sustainable working arrangements in relation to Muccadam services provided to Banks and Financial Institutions.
- 15.6. Members shall also be entitled to such other privileges, benefits, or facilities as may be determined, granted, or modified by the Governing Body from time to time in the interest of the Association and its Members.

## **DUTIES AND OBLIGATIONS OF MEMBERS**

### **16. Duties and Obligations of Members**

- 1.1. Every Member of the Pakistan Muccadam Association shall be duty-bound to actively support, promote, and advance the aims and objectives of the Association as set forth in the Memorandum of Association and these Articles.
- 1.2. Members shall strictly comply with and abide by the provisions of these Articles, the Rules, Regulations, codes of conduct, and bye-laws framed by the Association from time to time, as well as all lawful directions and decisions of the Governing Body.
- 1.3. Members shall submit all complaints, representations, appeals, grievances, or industry-related concerns in writing to the Secretary General of the Association and shall refrain from engaging in unilateral or public actions that may undermine the collective position of the Association.

- 1.4. Every Member shall promptly bring to the notice of the Governing Body any matter, practice, or development that is likely to cause financial, operational, reputational, or legal harm to the interests of the Association or its Members.
- 1.5. Members shall accept and abide by the decisions, resolutions, and policies of the Governing Body, provided such decisions are not inconsistent with the Memorandum of Association, these Articles, the Companies Act, 2017, or any applicable law or regulation.
- 1.6. Members shall provide such information, data, or inputs as may reasonably be required by the Association to promote the objectives of PMA, strengthen industry representation, or support collective engagement with Banks and Regulators.
- 1.7. Members shall participate constructively in meetings, consultations, and deliberations of the Association which they are entitled to attend and shall observe discipline, decorum, and procedural rules governing such meetings.
- 1.8. Members shall cooperate with and support the Governing Body in matters relating to Muccadam services, pledge management, banking coordination, legal compliance, and overall industry development.
- 1.9. All proceedings, deliberations, communications, and internal matters of the Association shall be treated as **strictly confidential** by Members. No Member shall make any public statement, disclosure, or communication on behalf of the Association unless expressly authorized in writing by the Chairman with the approval of the Governing Body.
- 1.10. In the event a Member violates the confidentiality obligations or acts in a manner prejudicial to the interests, reputation, or authority of the Association, the Association shall have the right to call upon such Member in writing to explain the conduct and, where warranted, require such Member to resign or face disciplinary action in accordance with these Articles.

## **RESIGNATION, REMOVAL AND EXPULSION**

## 2. Resignation, Removal and Expulsion

17.1. Any Member may resign from the Association by giving **thirty (30) days' written notice** to the Secretary General. Upon expiry of such notice, the Member shall cease to be a Member, provided that all subscriptions, dues, and liabilities up to the effective date of resignation shall remain payable.

17.2. Any Member who has resigned, whose name has been removed from the register for non-payment of subscription, or who has been expelled shall **not be entitled to any refund** of subscriptions, fees, or other amounts paid to the Association.

17.3. A Member may be **fined up to an amount equal to the annual subscription**, have his rights and privileges suspended or withdrawn, or be expelled from Membership by a **resolution of the Governing Body passed by a two-thirds majority** at a meeting specially convened for this purpose.

17.4. Disciplinary action may be taken where a Member:

- (a) Fails or refuses to comply with any lawful decision or direction of the Governing Body;
- (b) Engages in unethical, unprofessional, or improper practices in the field of Muccadam services;
- (c) Wilfully violates the Memorandum, these Articles, or any Rules, Regulations, or bye-laws of the Association; or
- (d) Acts in a manner prejudicial to the interests, discipline, or reputation of the Association.

17.5. No Member shall be fined, suspended, or expelled unless he has been given a reasonable opportunity of being heard, in writing and/or in person.

17.6. A Member expelled by the Governing Body may, within one (1) month of communication of the decision, appeal to the General Body. The Governing Body shall convene a General Body meeting within thirty (30) days of receipt of such appeal, and the decision of the General Body by simple majority shall be binding.

17.7. The aggrieved Member shall further have the right to appeal to the relevant Regulator in accordance with applicable law, whose decision shall be final and binding.

### **SEAL**

18. **Common Seal:** The Governing Body shall, as soon as practicable, provide a common seal of the Association. The common seal shall be

kept in the custody of the Secretary General at the Head Office of the Association and shall not be affixed to any document except pursuant to a resolution of the Governing Body and in the presence of the Chairman or Vice Chairman. Any document executed under the common seal of the Association shall be deemed to have been duly executed if signed by the Chairman or Vice Chairman and countersigned by the Secretary General or any person acting for him.

### **GENERAL**

19. **Ad-hoc Governing Body:** The Members who subscribe to the Memorandum and Articles of Association shall constitute the **initial and ad-hoc Governing Body** of the Association and shall exercise all the powers of the Governing Body upon registration of the Association, subject to these Articles.

### **WINDING UP**

20. **Winding Up or Dissolution:** The provisions of the **Companies Act, 2017**, and the rules made thereunder, relating to the winding up or dissolution of a company limited by guarantee shall apply to the winding up or dissolution of the Association.

### **INDEMNITY**

21. **Indemnity of Office Bearers:** The Chairman, Vice Chairman, Secretary General, members of the Governing Body, and other officers of the Association shall be indemnified out of the funds and assets of the Association against all liabilities, losses, or expenses incurred by them in the lawful discharge of their duties or in the exercise of their powers in good faith, including the cost of defending any legal proceedings.

### **BYE-LAWS, RULES AND REGULATIONS**

22. **Power to Make Rules:** Subject to applicable law, the Governing Body shall have the power to frame, amend, and enforce bye-laws, rules, and regulations consistent with the Memorandum and these Articles for carrying out the objects and purposes of the Association.

### **FORMS**

23. **Forms:** The Governing Body shall formulate and prescribe such forms, documents, and formats as may be required from time to time for the effective implementation of the Memorandum and these Articles.

### **ANNUAL GENERAL MEETING**

24. An Annual General Meeting of the Association shall be held once in every calendar year at such place, date, and time as the Governing Body may determine. At the Annual General Meeting, a report on the activities of the Association for the preceding year together with the audited annual accounts shall be circulated to the Members in advance.

### **ACCOUNTING YEAR AND REGULATORY FILING**

25. The accounting year of the Association shall close on the **30th day of June** each year. The annual financial statements shall be audited by a Chartered Accountant, and the audited accounts together with the prescribed statutory returns and a list of Members as required under law shall be submitted to the Regulator within the time prescribed under the Companies Act, 2017.

### **SPECIAL GENERAL MEETING BY GOVERNING BODY**

26. The Governing Body may, whenever it considers necessary, convene a Special General Meeting for the transaction of special business or for placing before the Members a review of the activities of the Association.

### **SPECIAL GENERAL MEETING ON REQUISITION**

27. A Special General Meeting shall be convened by the Governing Body upon a written requisition signed by not less than **one-third of the Members**, stating the objects of the proposed meeting, and submitted to the Secretary General.

### **OBLIGATION TO CONVENE MEETING**

28. Upon receipt of a valid requisition, the Governing Body shall proceed to convene a Special General Meeting within a reasonable time in accordance with these Articles.

### **NOTICE OF GENERAL MEETINGS**

29. At least **twenty-one (21) clear days' notice** shall be given for all General Meetings, specifying the place, date, time, and nature of business to be transacted. In cases of urgency or emergency, an extraordinary meeting may be convened at shorter notice, subject to applicable law.

### **NOTICE FOR AMENDMENT OF ARTICLES**

30. Notwithstanding anything contained herein, any General Meeting convened for the purpose of altering, revising, or amending the Memorandum or Articles of Association shall be held upon not less than **twenty-one (21) days' notice**, specifying the nature of the special business, in accordance with the Companies Act, 2017.

### **VALIDITY OF PROCEEDINGS**

31. The accidental non-receipt of notice of any General Meeting by any Member shall not invalidate the proceedings of such meeting.

We the several persons whose names and addresses are subscribed are desirous of being formed into an Association in pursuance of these Articles of Association.

| S.N<br>o. | Name<br>Subscribers            | of Address | Signature |
|-----------|--------------------------------|------------|-----------|
| 1.        | Ibrahim Amin<br>S/o _____      |            | Sd/-      |
| 2.        | Ashfaq Rehmat Ali<br>S/o _____ |            | Sd/-      |
| 3.        | AAK Niazi<br>S/o _____         |            | Sd/-      |
| 4.        | S/o _____                      |            | Sd/-      |
| 5.        | S/o _____                      |            | Sd/-      |

Witness to above Signature.

Dated the \_\_\_\_\_ day of \_\_\_\_\_, 2026

|              |  |
|--------------|--|
| Name:        |  |
| Father Name: |  |
| Occupation:  |  |
| CNIC No:     |  |
| Address:     |  |
| Signature    |  |